AAVIN
PRIVATE EQUITY
1245 1st Ave SE| Cedar Rapids, IA 52402| 319.247.1072|

March 3, 2017

Mr. Michael Walden-Newman
Nebraska Investment Council
School Employees' Retirement System of Douglas County School District 0001
1526 K Street, Suite 420
Lincoln, NE 68508

RE: AAVIN Equity Partners II, LP Audited Financials and Portfolio Valuations
For the year ended December 31, 2016

Dear Michael:

Enclosed are audited financials for AAVIN Equity Partners II, LP and Portfolio Valuations. You will also be receiving the audit and valuations for SERSDCSD0001's investment in AAVIN Mezzanine Fund, LP.

Portfolio Update:

During 2016, the fund invested $5,632,948 million dollars in six portfolio companies. One portfolio company repaid debt in 2016 of $144,500. As of December 31, 2016, investments in portfolio companies totaled $6,878,674. These investments returned cashflows of $584,968 during 2016.

The following is a summary of the portfolio as of December 31, 2016:

Company	Invested $	Current Valuation	Proceeds Received thru 12/31/16
B12 Transportation Group LLC	$ 665,118	$ 665,118	$ 60,599
CPI Luxury Group	1,445,189	1,445,189	136,390
Montana Silversmiths, LLC	867,000	722,500	169,674
Odessa AIM Holdings, Inc.	1,300,671	1,300,671	72,914
SPI Acquition Holdings, Inc.	1,401,650	1,401,650	28,033
Transfer Tool Systems LLC	765,470	765,470	91,866
Verrex, LLC	578,076	578,076	25,492
	$ 7,023,174	$ 6,878,674	$ 584,968

B12 Transportation Group LLC – 12/7/15: The company is a manufacturer of cargo van bodies and courtesy buses and is based in Lawrence, Kansas.

CPI Luxury Group – 6/30/16: The Los Angeles based company imports and wholesales pearls and other related jewelry products.

Montana Silversmiths LLC – 10/27/16: The 40-year old company operates in Columbus, Montana. It is a manufacturer and supplier of western buckles, jewelry and watches.

Odessa AIM Holdings Inc – 8/31/16: The company, based in Odessa, Texas, specializes in the repair and maintenance of industrial engine and compressor components.

SPI Acquisition Holdings Inc – 12/27/16: SPI is a manufacturer of precast concrete products and located in Jacksonville, FL.

Transfer Tool Systems LLC – 8/10/15: The company is a manufacturer of deep draw metal stampings used by large automotive supply manufacturers located in Grand Haven, Michigan.

Verrex LLC – 7/20/16: The company is a leader in audio/visual integration and is located in Mountainside, NJ.

Deal Flow:
In 2016, approximately 805 potential opportunities for investment were reviewed. Of those opportunities, the Fund issued terms sheets or indications of interest on 25 potential deals. Relative to these 25 the Fund submitted 17 more detailed letters of intent, which resulted in the completion of 5 portfolio investments. 4 of the 17 letters of intent were active at year end.

Capital:
To date we have drawn capital of $6.253 million or 25% of total committed capital of $25,000,000 from SERSODCSD0001. If all the investments under currently under Letter of Intent close an additional $4 million will be called by the end of the first quarter.

2016 K-1 Information:
Four portfolio investments are pass through entities and we are awaiting K-1s from three. We anticipate having SERSODCSD001's K-1 complete by mid-March.

If you have questions or matters you wish to discuss please contact me.

Thank You – Sincerely,

James D. Thorp
Managing Partner

AAVIN EQUITY PARTNERS II, LP

AUDITED FINANCIAL STATEMENTS
AND SUPPLEMENTARY INFORMATION

YEAR ENDED DECEMBER 31, 2016 AND
PERIOD ENDED DECEMBER 31, 2015

with

INDEPENDENT AUDITOR'S REPORT

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INDEPENDENT AUDITOR'S REPORT

The General Partner
AAVIN Equity Partners II, LP
Cedar Rapids, Iowa

Report on the Financial Statements

We have audited the accompanying financial statements of AAVIN Equity Partners II, LP (a partnership), which comprise the statements of financial position as of December 31, 2016 and 2015 and the related statements of operations realized, cash flows, and partners' capital for the year ended December 31, 2016 and the period from January 7, 2015 to December 31, 2015, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the basis of accounting described in Note 1; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of AAVIN Equity Partners II, LP as of December 31, 2016 and 2015, and the results of its operations and its cash flows for the year ended December 31, 2016 and the period from January 7, 2015 to December 31, 2015 in accordance with the financial reporting provisions of the Small Business Administration ("SBA") as described in Note 1.

INDEPENDENT AUDITOR'S REPORT, CONTINUED

Basis of Accounting

We draw attention to Note 1 of the financial statements, which describes the basis of accounting. The financial statements have been prepared in conformity with the accounting practices prescribed or permitted by the SBA, which is a comprehensive basis of accounting other than accounting principles generally accepted in the United States of America. The investment securities included in the financial statements have been valued by the General Partner using valuation criteria established by the SBA. These criteria were established in accordance with section 310(d)(2) of the Small Business Investment Act of 1958, as amended. Accordingly, the accompanying financial statements are not intended to be a presentation in conformity with accounting principles generally accepted in the United States of America. At December 31, 2016 and 2015, such investment securities have been valued at $6,878,674 (95% of total assets), and $1,390,228 (98% of total assets), respectively, whose values have been estimated by the General Partner in the absence of readily ascertainable market values. We have reviewed the procedures used by the General Partner in preparing the valuations of investment securities and have inspected the underlying documentation and, in the circumstances, we believe the procedures are reasonable and the documentation appropriate. However, in the case of those securities with no readily ascertainable market values, because of the inherent uncertainty of the valuation, the General Partner's estimate of values may differ significantly from the value that would have been used had a ready market existed for the securities and the differences could be material.

Restriction on Use

This report is intended solely for the information and use of the management of AAVIN Equity Partners II, LP and is not intended to be and should not be used by anyone other than those specified parties.

Report on Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The schedules of investments and cumulative schedules of partners' capital are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Bohr, Dahm, Greif & Associates, P.C.

Cedar Rapids, Iowa
February 16, 2017

AAVIN EQUITY PARTNERS II, LP
STATEMENTS OF FINANCIAL POSITION
December 31, 2016 and 2015

	2016	2015
Assets:		
Investments at value determined by General Partner; cost of $6,878,674 and $1,390,228 (Notes 1 and 2)	$ 6,878,674	$ 1,390,228
Cash and cash equivalents	279,148	22,126
Accrued interest receivable, net of reserve for loss account of $14,007 and $-0- (Notes 1 and 2)	49,796	2,438
Total assets	$ 7,207,618	$ 1,414,792
Liabilities:		
Due to affiliate (Note 3)	$ 98,632	$ 89,604
Accrued interest payable	556	-
Note payable to financial institution (Note 4)	1,401,650	-
Total liabilities	1,500,838	89,604
Partners' capital:		
Contributed capital	6,316,817	1,799,441
Retained deficit	(610,037)	(474,253)
Total partners' capital	5,706,780	1,325,188
Total liabilities and partners' capital	$ 7,207,618	$ 1,414,792

See notes to financial statements.

AAVIN EQUITY PARTNERS II, LP
STATEMENTS OF OPERATIONS REALIZED
Year ended December 31, 2016 and period from January 7, 2015 to December 31, 2015

	2016	2015
Investment income:		
Interest income (Note 2)	$ 311,202	$ 26,801
Other income from flow thru entities	8,608	-
Total investment income	319,810	26,801
Expenses:		
Investment management fee, net (Note 3)	389,202	468,944
Interest (Note 4)	7,413	1,637
Professional fees	21,792	371
Licenses and permits	192	507
Dues	672	415
Legal fees	27,062	3,840
Insurance	4,121	4,030
Office supplies	-	49
Organization costs	-	17,216
Bank service charge	10	60
Travel	5,000	3,912
Meals	124	-
Other	6	73
Total expenses	455,594	501,054
Net loss	$ (135,784)	$ (474,253)

See notes to financial statements.

AAVIN EQUITY PARTNERS II, LP
STATEMENTS OF CASH FLOWS
Year ended December 31, 2016 and period from January 7, 2015 to December 31, 2015

	2016	2015
Cash flows from operating activities		
Interest on cash equivalents and invested idle funds	$ 263,844	$ 24,363
Other income	8,608	-
Management fees	(335,000)	(361,346)
Interest paid	(6,857)	-
Other operating cash disbursements	(58,979)	(32,110)
Net cash used in operating activities	(128,384)	(369,093)
Cash flows from investing activities		
Advances on notes receivable	(4,391,382)	(767,459)
Repayments on notes receivable	144,500	-
Purchases of portfolio securities	(1,241,564)	(622,769)
Net cash used in investing activities	(5,488,446)	(1,390,228)
Cash flows from financing activities		
Partner capital contributions	4,472,202	1,781,447
Net change in note payable to financial institution	1,401,650	-
Net cash provided by financing activities	5,873,852	1,781,447
Net increase in cash and cash equivalents	257,022	22,126
Cash and cash equivalents, beginning of period	22,126	-
Cash and cash equivalents, end of period	$ 279,148	$ 22,126
Reconciliation of net loss to net cash used in operating activities		
Net loss	$ (135,784)	$ (474,253)
Adjustments to reconcile net loss to net cash provided by (used in) operating activities		
Management fee waivers	45,174	17,994
Effects of changes in operating assets and liabilities:		
Increase in accrued interest receivable	(47,358)	(2,438)
Increase in due to affiliate	9,028	89,604
Increase in accrued interest payable	556	-
Net cash used in operating activities	$ (128,384)	$ (369,093)

See notes to financial statements.

AAVIN EQUITY PARTNERS II, LP
STATEMENTS OF PARTNERS' CAPITAL
Year ended December 31, 2016 and period from January 7, 2015 to December 31, 2015

	Contributed Capital					
	General Partner	Limited Partner	Total	Retained Deficit	Total Private Partners' Capital	Total Partners' Capital
Balance at beginning of period	$ -	$ -	$ -	$ -	$ -	$ -
Capital contributions	17,994	1,781,447	1,799,441	-	1,799,441	1,799,441
Net loss	-	-	-	(474,253)	(474,253)	(474,253)
Balance at December 31, 2015	17,994	1,781,447	1,799,441	(474,253)	1,325,188	1,325,188
Capital contributions	45,174	4,472,202	4,517,376	-	4,517,376	4,517,376
Net loss	-	-	-	(135,784)	(135,784)	(135,784)
Balance at December 31, 2016	$ 63,168	$ 6,253,649	$ 6,316,817	$ (610,037)	$ 5,706,780	$ 5,706,780

See notes to financial statements.

1. Nature of business and significant accounting policies

Organization and nature of business

AAVIN Equity Partners II, LP (the "Partnership") is a limited partnership organized under the laws of the State of Delaware to operate as a mezzanine and private equity fund to provide debt and equity capital to small later stage businesses throughout the United States. The Partnership was formed on November 5, 2014 and commenced operations on January 7, 2015 under the Amended and Restated Agreement of Limited Partnership ("Agreement"). The Partnership consists of one Limited Partner, School Employees' Retirement System of Douglas County School District 0001, and a General Partner, AAVIN II, LLC. The Partnership's fiscal year ends December 31. Significant accounting policies followed by the Partnership are presented below.

Under the Agreement, the Partnership shall continue until the first to occur of the following: (1) withdrawal, dissolution or bankruptcy of the General Partner, or (2) the later of January 7, 2025, subject to four additional one year extensions to such date in the sole discretion of the General Partner or (3) at the election of the General Partner and the Limited Partner.

Basis of accounting

The accompanying financial statements have been prepared on a basis of accounting prescribed by the U.S. Small Business Administration which is a basis of accounting other than accounting principles generally accepted in the United States of America ("U.S. GAAP"). Some of the key considerations are as follows:

Investment securities included in the financial statements have been valued by the General Partner using the valuation criteria established by the SBA. This criteria was established in accordance with Section 310(d)(2) of the Small Business Investment Act of 1958, as amended. The reported value used for equity securities in the Statements of Financial Position (also known as "SBA Guideline Value"), must be determined in accordance with the Partnership's valuation policy. Reported value may differ in certain instances from fair value, which is the measurement of value that would comply with U.S. GAAP.

1. Nature of business and significant accounting policies, continued

Basis of accounting, continued

FASB ASC 820-10, *Fair Value Measurements*, defines the value in accordance with U.S. GAAP as the "price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date." The primary differences between the two measurements are that in the case of values determined in accordance with SBA Guideline Value (i) an increase in value above cost may only be reflected in reported value if there is a specific permitted basis under the Partnership's valuation policy; (ii) liquidity (or "blockage") discounts, which are prohibited under U.S. GAAP, must be considered for inclusion in reported value; (iii) the reported value of interest-bearing securities is not adjusted for changes in interest rates. It is expected that reported value will not exceed, but may be less than, "fair" value in accordance with U.S. GAAP. The differences between reported values and U.S. GAAP reported fair values may be significant.

There may also be other differences between SBA-basis financial statements and U.S. GAAP-basis financial statements including, but not limited to, the treatment of unrealized gains and losses, and presentation of financial highlights. The General Partner has elected to use the SBA-basis of accounting because all of the partners are also investors in a similar partnership that is a Small Business Investment Company required to use the SBA-basis of accounting and they desire to have comparable financial statements.

Investments

Investment securities of the Partnership are included in the Statements of Financial Position at SBA Guideline Value, as described previously. Investments for which no active public market exists are valued at SBA Guideline Value as determined in good faith by the General Partner and approved by the investment committee of the General Partner, based on all relevant factors. The investments are carried at cost until events subsequent to the date of investment indicate that cost is not the best measure of SBA Guideline Value. If such events have occurred, the value will be determined by taking into consideration the cost of the securities; developments concerning the company to which the securities relate subsequent to the acquisition of the securities; any financial statements and projections of the company provided to the General Partner; and, such other factor or factors as the General Partner may deem relevant. Among the factors considered in determining the reported value of investments will be the cost of the investment; developments subsequent to the acquisition of the investment, including recent financing transactions; the financial condition and operating results of the portfolio investment, market values for similar securities, the long-term potential of the business of the portfolio investment; overall market conditions and other factors generally pertinent to the valuation of investments. As of December 31, 2016, the Partnership had made seven investments, which are all carried at cost. Management expects to call the remaining capital from the limited partner over the next three to five years and identify additional companies for investments.

1. Nature of business and significant accounting policies, continued

Investments, continued

In the valuation process, the General Partner uses financial information received monthly, quarterly, and annually from the portfolio companies which will include both audited and unaudited financial statements. This information is used to determine financial condition, performance, and valuation of the portfolio investments.

The value of certain investments may also be adjusted to equate to a subsequent significant equity financing that includes a sophisticated, unrelated new investor. An investment may be valued at less than cost if the investee shows a significant fundamental deterioration in financial position or operating results or has defaulted under the terms of its agreement with the Partnership.

Investments whose values have been estimated by the General Partner, and approved by the investment committee, of $1,864,333 of equity securities and $5,014,341 of secured loans (See Note 2) represent 26% and 69% respectively, of total assets at December 31, 2016. At December 31, 2015, $622,769 of equity securities and $767,459 of secured loans (See Note 2) represent 44% and 54%, respectively, of total assets. The Partnership made investments in five new portfolio companies during 2016 (four equity and secured loan investments and one secured loan investment only). In addition, the Partnership made one follow-on equity and secured loan investment in a portfolio company previously held. The Partnership made investments in two portfolio companies during 2015 (both equity and secured loan investments).

Use of estimates in preparing financial statements

The preparation of financial statements in conformity with accounting practices prescribed by the SBA requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates. The most significant estimate is the estimate of the SBA guideline value of equity investments, which is subject to significant market risk and could differ materially from actual values realized.

Concentration of credit risk

The Partnership maintains its cash and cash equivalents at one financial institution. The balances are insured by the Federal Deposit Insurance Corporation ("FDIC") up to $250,000. As of December 31, 2016, total uninsured cash balances were approximately $29,000.

Cash and cash equivalents

The Partnership considers highly liquid investments with maturities of three months or less when purchased to be cash equivalents.

Partners' capital – distributions and allocation of gain and loss

Capital contributions are credited to the partners' capital accounts when received by the Partnership. Capital distributions are debited to the partners' capital accounts when paid. Income and losses are allocated to the partners' accounts in accordance with the Agreement as described below.

1. Nature of business and significant accounting policies, continued

Partners' capital – distributions and allocation of gain and loss, continued
Distributions to partners are generally made (i) first, to the partners in proportion to their unreturned capital contributions until they have received distributions equal to their capital contributions with respect to all realized investments and the pro rata expenses of the Partnership with respect to all realized investments; (ii) second, to the partners until they have received distributions equal to and in proportion to the outstanding unpaid preferred return of 8% per annum, compounded annually on unreturned capital contributions of each partner, and (iii) thereafter 90% to the partners in proportion to their respective capital contributions and 10% to the General Partner.

Net profits and net losses of the Partnership will be allocated to the partners' respective capital accounts in a manner consistent with distributions.

Revenue recognition
Interest income is recorded on the accrual basis. When in the judgement of management, the collectability of such income is doubtful, a reserve for loss account is established to the extent there is doubt as to the collection of the amounts accrued. The Partnership recorded reserves as a reduction of interest income totaling $14,007 and $-0- as of December 31, 2016 and 2015, respectively. Dividend income is recognized on the date the dividend is declared and payable.

Amounts reported as realized gains or losses on investments will be measured by the difference between the net proceeds of sale or write-off and the cost basis of the investment on the specific identification method, without regard to unrealized gains and losses. The cost of securities that have, in the General Partner's judgment, become worthless, are written off and reported as realized losses.

Unrealized appreciation of investments
Unrealized gains (losses) on securities held result from the valuation of investments by the General Partner. Unrealized appreciation is recognized for valuations above cost and unrealized depreciation is recognized for valuations below cost. Unrealized gains or losses are the aggregate amounts obtained by summing the unrealized appreciation or depreciation of all investments, net of any estimated future income tax effects. Such changes are recorded directly in the partners' capital account, unrealized appreciation of investments, in the Statements of Financial Position.

Income taxes
The Partnership, with the consent of its partners, has elected to be taxed under sections of the federal and state income tax law as a Partnership. As a result of this election, no income taxes are paid by the Partnership. Instead, the partners separately pay tax on their pro rata allocation of the Partnership's income, deductions, losses and credits.

2. Loans

Subordinated secured loans are included with investments in the statements of financial position and consist of the following as of December 31:

Company	Date of Advance	Principal Advanced	Loan Terms	2016	2015
B12 Transportation Group, LLC	12/7/2015	332,393	Note accrues interest payable monthly on the principal balance at a rate of 11% per annum. Rate will increase to 12% on 12/7/16, 13% on 12/7/17, and 14% on 12/7/18. Principal balance is due at maturity on 12/7/20.	$ 332,393	$ 332,393
CPI Luxury Group	6/30/2016	1,445,189	Note accrues interest payable monthly at a rate of 17.5% per annum until maturity on 6/30/21.	1,445,189	-
Montana SilverSmiths Holdings, LLC	10/28/2016	505,750	Note accrues interest payable monthly on the principal balance at a rate of 13% per annum. Additional, payment-in-kind ("PIK") interest compounded monthly at a rate of 4% and added to principal balance. Principal balance is due at maturity on 10/27/21.	505,750	-
Odessa AIM Holdings, Inc.	8/31/2016	1,069,439	Note accrues interest payable monthly at a rate of 14% per annum until maturity on 8/31/21.	1,069,439	-
SPI Acquisition Holdings, Inc.	12/28/2016	840,990	Note accrues interest payable monthly on the principal balance at a rate of 12% per annum. Additional, PIK interest compounded monthly at a rate of 1% and added to principal balance. Principal balance is due at maturity on 12/28/21.	840,990	-
Transfer Tool Holdings, LLC	8/10/2015	435,066	Note accrues interest payable monthly at a rate of 14% per annum until maturity on 8/10/20.	435,066	435,066
Transfer Tool Holdings, LLC	11/4/2016	24,216	Note accrues interest payable monthly at a rate of 14% per annum until maturity on 8/10/20.	24,216	-
Verrex, LLC	7/21/2016	361,298	Note accrues interest payable monthly on the principal balance at a rate of 14% per annum until maturity on 7/21/21.	361,298	-
			Total Subordinated Secured Loans	$ 5,014,341	$ 767,459

2. Loans, continued

Interest income earned on loans detailed above was $311,202 and $26,801 for the years ended December 31, 2016 and 2015, respectively. The Partnership had accrued interest receivable of $49,796 (net of reserve of $14,007) and $2,438 (net of reserve of $-0-) at December 31, 2016 and 2015, respectively.

The above loans are secured by substantially all the assets of the respective companies. The Partnership's claim is subordinate to the respective companies' bank debt. Loan balances are included in the cost of investments on the balance sheet (see Note 1, Investments).

3. Management agreement and related party transactions

The General Partner has contracted with AAVIN Equity Advisors, LLC ("AAVIN") to manage the Partnership's activities. Under the terms of the Management Agreement ("agreement"), AAVIN provides essentially all of the management and administrative services required by the Partnership. The Management Agreement expires upon termination of the Partnership.

The Partnership pays an annual management fee computed on a daily basis equal to 2% of the management fee base. Management fee base is the aggregate commitments of the limited partner during the management fee period and after the management fee period; the management fee base is the cost basis of the Partnership's portfolio securities in active portfolio companies. The management fee period commences on the commencement date and ends on the earlier of six years after the commencement date or the initial closing of a successor fund.

To the extent AAVIN receives any financing fees, management fees, director and/or transaction fees from a portfolio company (other than investment banking fees), all such fees shall reduce management compensation. During the years ended December 31, 2016 and 2015, $106,215 and $27,805 of these fees were generated related to the closing of five and two investments, respectively. Also, pursuant to the Management Agreement, other fees received by the General Partner or AAVIN from any portfolio company reduce eligible management fees as well. Other fees received for the years ended December 31, 2016 and 2015 were $9,633 and $-0-, respectively. Total offsetting fees to management fees for the years ended December 31, 2016 and 2015 were $115,848 and $27,805, respectively.

During the years ended December 31, 2016 and 2015, management fees to AAVIN totaled $389,202 (net of $115,848 in fees) and $468,944 (net of $27,805 in fees), respectively. Accrued management fees of $98,632 and $89,604 were payable to AAVIN at December 31, 2016 and 2015, respectively.

3. Management agreement and related party transactions, continued

The General Partner may elect to reduce up to 100% of management compensation that would be payable in order to satisfy the 1% capital contribution of the General Partner. The General Partner's total committed capital at December 31, 2016 was $252,525 with contributions to date totaling $63,168. Management fees waived to reduce contributions totaled $45,174 and $17,994 for the years ended December 31, 2016 and 2015, respectively. Management fees totaling $63,168 have been waived since the Partnership commenced operations.

During the years ended December 31, 2016 and 2015, the Partnership reimbursed AAVIN for organization costs of $-0- and $17,216, respectively.

4. Note payable

The Partnership had a revolving credit agreement with a bank that expired on March 17, 2016, which authorized maximum borrowings of $2,000,000. Advances bore interest at the greater of 3.25% or the Wall Street Prime rate (rate was 3.50% as of December 31, 2015). During 2016, the Partnership entered into a new revolving credit agreement with the same bank, which authorizes maximum borrowings of $2,000,000. Advances bear interest at the Wall Street Prime rate, adjusted daily (rate of 3.75% at December 31, 2016). The agreement expires March 17, 2017. As of December 31, 2016 and 2015, the Partnership had outstanding balances of $1,401,650 and $-0-, respectively, under these agreements. Interest expense for the years ended December 31, 2016 and 2015 under these agreements was $7,413 and $1,637, respectively.

5. Partner capital commitments, contributions and unfunded commitments

At the inception of the Partnership, the partners entered into subscription agreements obligating the partners to purchase a partnership interest equal to an agreed upon amount of future total commitments. As of December 31, 2016 and 2015, the amounts of contributions to date and remaining unfunded commitments are summarized as follows:

	December 31, 2016		
	General Partner	Limited Partner	Total
Commitments	$ 252,500	$ 25,000,000	$ 25,252,500
Contributions to Date	63,168	6,253,649	6,316,817
Unfunded Commitments	$ 189,332	$ 18,746,351	$ 18,935,683

5. Partner capital commitments, contributions and unfunded commitments, continued

	December 31, 2015		
	General Partner	Limited Partner	Total
Commitments	$ 252,500	$ 25,000,000	$ 25,252,500
Contributions to Date	17,994	1,781,447	1,799,441
Unfunded Commitments	$ 234,506	$ 23,218,553	$ 23,453,059

Unfunded commitments are expected to be called over the next three to five years.

6. Preferred return on unreturned capital contribution

The limited partnership agreement provides for a preferred return of 8% per annum, compounded annually, on unreturned capital contributions of the limited partner (see Note 1 – Partners Capital). The accumulated preferred return on unreturned capital contributions of the limited partner as of December 31, 2016 and 2015, totals $321,270 and $42,977, respectively. This is a memorandum account only and is being tracked for future distribution waterfalls.

7. Subsequent events

On January 20, 2017, CPI Luxury Group repaid $1,069,440 of their subordinated secured note. Penalties and fees of $36,130 assessed on the prepayment are to be paid in three monthly installments starting in January 2017. $13,007 was paid on January 20, 2017 and the remaining balance will be paid at the end of February and March.

Subsequent events were evaluated through February 16, 2017, the date the financial statements were available to be issued.

* * * * *

SUPPLEMENTARY INFORMATION

AAVIN EQUITY PARTNERS II, LP
SCHEDULE O F INVESTMENTS
December 31, 2016

Company	Security	SBA Guideline Value	Cost
Information Services:			
Verrex, LLC	2,167.78 Class A units	$ 216,778	$ 216,778
Information Services	Secured subordinated note accruing interest at 14% through maturity on July 21,		
Mountainside, NH	2021	361,298	361,298
		578,076	578,076
Manufacturing:			
B12 Transportation Group, LLC	332,393 common units	332	332
Motor Vehicle Body Manufacturing	332,393 preferred units	332,393	332,393
Lawrence, KS	Secured subordinated note accruing interest at:		
	11% through December 6, 2016;		
	12% through December 6, 2017;		
	13% through December 6, 2018;		
	and 14% through maturity on December 7, 2020	332,393	332,393
		665,118	665,118
Montana SilverSmiths Holdings, LLC	2,167.50 Class A shares	216,750	216,750
Jewelry and Silverware Manufacturing	Secured subordinated note accruing interest at 13% with additional PIK interest		
Columbus, MT	compounded monthly at 4% and added to principal balance. Principal due at		
	maturity on October 27, 2021.	505,750	505,750
		722,500	722,500
Odessa AIM Holdings, Inc.	130 common units	2,312	2,312
Machine Shop	228,920 preferred units	228,920	228,920
Odessa, TX	Secured subordinated note accruing interest at 14% through maturity on		
	August 31, 2021	1,069,439	1,069,439
		1,300,671	1,300,671

AAVIN EQUITY PARTNERS II, LP
SCHEDULE OF INVESTMENTS, CONTINUED
December 31, 2016

Company	Security	SBA Guideline Value	Cost
SPI Acquisition Holdings, Inc.	560.66 preferred shares	560,660	560,660
Other Concrete Manufacturing Jacksonville, FL	Secured subordinated note accruing interest at 12% with additional PIK interest compounded monthly at 1% and added to principal balance. Principal due at maturity on December 28, 2021.	840,990	840,990
		1,401,650	1,401,650
Transfer Tool Holdings, LLC	306,188 common units	306,188	306,188
Metal Stamping Manufacturing Grand Haven, MI	Secured subordinated notes accruing interest at 14% through maturities on August 10, 2020	459,282	459,282
		765,470	765,470
	Total Manufacturing	4,855,409	4,855,409
Wholesale Trade:			
CPI Luxury Group Jewelry and Precious Metals Manufacturing Los Angeles, CA	Secured subordinated note accruing interest at 17.5% through maturity on June 30, 2021	1,445,189	1,445,189
	Grand Total	$ 6,878,674	$ 6,878,674

AAVIN EQUITY PARTNERS II, LP
SCHEDULE OF INVESTMENTS
December 31, 2015

Company	Security	SBA Guideline Value	Cost
Manufacturing:			
Transfer Tool Holdings, LLC	290,044 units	$ 290,044	$ 290,044
Metal stamping manufacturing	Secured subordinated note accruing interest at 14%		
Grand Haven, MI	through maturity on August 10, 2020	435,066	435,066
		725,110	725,110
B12 Transportation Group, LLC	332,393 common units	332	332
Motor vehicle body manufacturing	332,393 preferred units	332,393	332,393
Lawrence, KS	Secured subordinated note accruing interest at:		
	11% through December 6, 2016;		
	12% through December 6, 2017;		
	13% through December 6, 2018;		
	and 14% through maturity on December 7, 2020	332,393	332,393
		665,118	665,118
	Total Manufacturing	$ 1,390,228	$ 1,390,228

AAVIN EQUITY PARTNERS II, LP
CUMULATIVE SCHEDULE OF PARTNERS' CAPITAL
December 31, 2016

	Subscription Amount	Capital Contributions	Retained Deficit	Net Partner Capital
Limited Partner				
School Employees' Retirement System of Douglas County School District 0001	$ 25,000,000	$ 6,253,649	$ (603,937)	$ 5,649,712
General Partner				
AAVIN II LLC	252,525	63,168	(6,100)	57,068
Total	$ 25,252,525	$ 6,316,817	$ (610,037)	$ 5,706,780

AAVIN EQUITY PARTNERS II, LP
CUMULATIVE SCHEDULE OF PARTNERS' CAPITAL
December 31, 2015

	Subscription Amount	Capital Contributions	Retained Deficit	Net Partner Capital
Limited Partner				
School Employees' Retirement System of Douglas County School District 0001	$ 25,000,000	$ 1,781,447	$ (469,510)	$ 1,311,937
General Partner				
AAVIN II LLC	252,525	17,994	(4,743)	13,251
Total	$ 25,252,525	$ 1,799,441	$ (474,253)	$ 1,325,188

AAVIN
PRIVATE EQUITY

AAVIN EQUITY PARTNERS II, LP

VALUATION SUMMARY

December 31, 2016

				Current Period Change				
Investment	First Investment Date	Total Invested Cost	Prior Valuation 6/30/16	New $ Invested	Redemptions /Repayments	Valuation Change	Current Valuation 12/31/16	Total Cash Proceeds Received to Date
B12 Transportation Group LLC	12/7/2015	$ 665,118	$ 665,118				$ 665,118	$ 60,599
CPI Luxury Group	6/30/2016	1,445,189	$ 1,445,189				1,445,189	136,390
Montana SilverSmiths, LLC	10/27/2016	867,000		$ 867,000	$ (144,500)		722,500	169,674
Odessa AIM Holdings, Inc.	8/31/2016	1,300,671		1,300,671			1,300,671	72,914
SPI Acquisition Holdings, Inc.	12/27/2016	1,401,650		1,401,650			1,401,650	28,033
Transfer Tool Holdings, LLC	8/10/2015	765,470	725,110	40,360			765,470	91,866
Verrex, LLC	7/20/2016	578,076		578,076			578,076	25,492
Totals		$ 7,023,174	$ 2,835,417	$ 4,187,757	$ (144,500)	$ -	$ 6,878,674	$ 584,968

AAVIN EQUITY PARTNERS II, LP

VALUATION REPORT

Portfolio Company: **B12 TRANSPORTATION GROUP, LLC**

December 31, 2016

INVESTMENT DATE: December 07, 2015

AAVIN PRINCIPALS: Kevin F. Mullane, Board Member
David Schroder, Board Observer

4.31% Outstanding Equity Ownership

4.31% Fully Diluted Equity Ownership

			Current Period Change			
Security	Total Invested Cost	Prior Valuation	New $ Invested	Redemptions/ Repayments	Valuation Change	Current Valuation
Sub-Debt	$332,393	$ 332,393	-	-	-	$332,393
Preferred Units	332,393	332,393	-	-	-	332,393
Common Units	332	332	-	-	-	332
Total	$665,118	$665,118	-	-	-	$665,118

Enterprise Valuation*: $19,097,000

*Enterprise value - The value of the enterprise implied by the current valuation required to return capital to the fund equal to the current valuation.

Proceeds received to date:

Periods	Closing Fees	Management Fees	Interest	Other Distributions	Return of Principal	Total
Close - Dec 2015	$13,302					$13,302
2016		$0	$39,832	$7,465	$0	$47,297
Total	$13,302	$0	$39,832	$7,465	$0	$60,599

Valuation

The valuation of B12 Transportation Group, LLC (B12) as of December 31, 2106, is $1,636,032 for AAVIN Mezzanine Fund, LP (AMF) and $665,010 for AAVIN Equity Partners II, LP (AEPII) each of which is equal to the original cost of the investment. Total amount invested by AAVIN Funds equals $2,301,042.

Business Description

B12 is a holding company that has acquired two companies and they operate as wholly owned subsidiaries.

B12 was acquired on December 7th 2015. Brown is a 69 year old company that is a manufacturer of cargo van bodies and an upfitter of Rail "Maintenance Of Way" equipment. The company is headquartered in Lawrence Kansas.

Diamond Coach (Diamond) was acquired on December 27, 2015. Diamond is a 50 year old company that is a manufacturer of 15-20 seat courtesy buses. The primary customers are senior care, airports, auto rental and hospital industries. The company is located in Oswego, Kansas.

Financing

Through the investment in B12, AMF and AEPII participated in a buyout of the stock. The total purchase price for the business which include real estate was $16,403,876. Four other funds including three SBIC's participated in the transaction. The difference between the purchase price and the enterprise value is primarily the operating line of credit for B12.

AMF, invested a total of $1,636,032 in the transaction. The investment is $817,607 in 11% subordinated debt with a five-year term (the interest rate increases to 12% - year 2, 13% - year 3, and 14% thereafter) and $817,607 in 5% preferred units and $818.00 in common membership units. The preferred dividend compounds annually and increases from 5% to 6% after the 5th anniversary date. The preferred units are redeemable at any time by the company for the amount of the accrued dividends plus the original cost. The preferred units are puttable by any holder thereof any time after the 7th anniversary at the amount of the accrued dividends plus the original cost.

AEPII, invested a total of $665,010 in the transaction. The investment is $332,393 in 11% subordinated debt with a five-year term (the interest rate increases to 12% - year 2, 13% - year 3, and 14% thereafter) and $332,393 in 5% preferred units and $332.00 in common membership units. The preferred dividend compounds annually and increases from 5% to 6% after the 5th anniversary date. The preferred units are redeemable at any time by the company for the amount of the accrued dividends plus the original cost. The preferred units are puttable by any holder thereof any time after the 7th anniversary at the amount of the accrued dividends plus the original cost.

AMF/AEPII hold one Board seat and one observer position on the Board of Directors of B12.

Current Status

AMF and AEPII closed this investment on December 7th, 2015. The company has completed its first year post close. 2016 has been a transition year for the company. The company has invested in a growth framework that will begin to show results in the first quarter of 2017.

YTD sales are short of plan by $3,472,000. The primary driver of the variance has been a down turn in the rail industry in 2016. There was a significant drop off in rail product sales compared to 2015 and compared to 2016 budget. EBITDA is behind plan YTD approximately $800k. This is primarily due to the fall off in rail and also investing margin in growth initiatives which the company is beginning to realize. Rail is beginning to rebound and the company expects to see improvement in rail as well as overall sales in 2017. The company is forecasting $40 million in sales in 2017 with an EBITDA of $2,850,000. The company has expanded its customer base and also has developed a new product line "trolley" that will begin production in January 2017. Current backlog is close to $7 million and the highest it has been this year. There is a lot of optimism going into 2017 and the company has a strong but achievable plan for 2017.

Keys to Success

- Maximize combined entities synergies
- Expand sales into other product lines
- Continue to gain market share in rail products and truck products
- Pay down acquisition debt

Exit Strategy

The exit strategy for this investment will be to grow the company over the next five years and also pay down acquisition debt and engage an investment banker at that time to run a sale process to sell the company to an industry buyer or to a financial buyer.

Historical Financial Performance/Budget

Statement of Operations for the Year Ended December 31 (000's)	2012	2013	2014	2015	Nov 2016 TTM	2016 Forcast	2017 Budget
Net Sales	$ 20,801	$ 21,248	$ 25,306	$ 35,747	$ 33,070	$ 34,272	$ 40,293
COGS	17,827	17,516	21,063	29,636	27,601	28,020	32,636
Gross Profit	2,974	3,732	4,243	6,111	5,469	6,252	7,657
Gross Margin	14.3%	17.6%	16.8%	17.1%	16.5%	18.2%	19.0%
Operating Expenses	3,237	3,033	3,283	4,698	4,216	4,222	4,818
Other Income (Expense)	349	(380)	(365)	(381)	(2,918)	(2,509)	(2,718)
Net Profit (Loss)	$ 86	$ 319	$ 595	$ 1,032	$ (1,665)	$ (479)	$ 121
EBITDA Adjustments	295	1,061	1,175	1,917	$3,239	2,509	2,719
EBITDA	$ 381	$ 1,380	$ 1,770	$ 2,949	$ 1,574	$ 2,030	$ 2,840
EBITDA Margin	1.8%	6.5%	7.0%	8.2%	4.8%	5.9%	7.0%

Balance Sheet as of November 30, 2016 (000's)			
Cash	$12	A/P	$2,830
A/R	3,000	Deposits	57
Inventory	4,840	Accruals	1,444
Other Current Assets	129	Current Portion of LT Debt	559
Total Current Assets	7,981	**Total Current Liabilities**	4,890
PP&E, Net	3,560	Line of Credit	1,943
(Includes Real Estate)		Senior Debt	4,158
		Mezz Debt	6,219
		Current Maturities - LT Debt	(558)
		Total Liabilities	16,652
Goodwill	9,432	Preferred & Misc. Equity	6,218
Other	205	Retained Earnings	(902)
Total Other Assets	9,637	Distributions	(142)
		Net Income	252
		Total Equity	4,526
Total Assets	$ 21,178	**Total Liabilities & Equity**	$ 21,178

Capitalization & Equity Schedule

Entity	Sub-Debt	% Preferred	Preferred Shares	Preferred Contribution $	% Common	Common Shares	Common Contribution $	Total Contribution $
			$1.000 per share			$0.001 per share		
MidStates Capital Fund III, LP	$ 1,000,000	16.08%	1,000,000	$ 1,000,000	12.96%	1,000,000	$ 1,000	$ 2,001,000
Kansas Venture Capital, Inc.	750,000	12.06%	750,000	750,000	9.72%	750,000	750	1,500,750
AAVIN Mezzanine Fund LP	817,607	13.15%	817,607	817,607	10.59%	817,607	818	1,636,032
AAVIN Equity Partners II LP	332,393	5.34%	332,393	332,393	4.31%	332,393	332	665,118
SBIC Partners	2,900,000	46.63%	2,900,000	2,900,000	37.57%	2,900,000	2,900	5,802,900
EXMARQ Capital Partners, Inc. (Non-SBIC)	600,000	9.65%	600,000	600,000	7.77%	600,000	600	1,200,600
UMB Capital Corporation (also an SBIC)	500,000	8.04%	500,000	500,000	6.48%	500,000	500	1,000,500
Total B12 Series "D" LLC (Non-SBIC)	2,065,954	33.22%	2,065,954	2,065,954	26.77%	2,065,955	2,066	4,133,974
WGS Holdings, LLC (B12 Carry Purchased at Closing)	-	0.00%	-	-	19.43%	1,499,547	1,500	1,500
Jeff Hupke (Non-Voting Mgt Shares)	153,015	2.46%	153,015	153,015	1.98%	153,015	153	306,183
Totals	$ 6,218,969	100.00%	6,218,969	$ 6,218,969	100.00%	7,718,517	$ 7,719	$ 12,445,657

Waterfall

In the event of a sale of the company and after the repayment of any revolving credit, all senior debt and any other retained liabilities, the Sub Debt of $6,218,969 plus all accrued and unpaid interest would be paid next. Then Preferred Units of $6,218,969 plus all accumulated dividends would be paid next ratable among the holders thereof. Any remaining balance of proceeds would then be paid ratably to the holders of common units.

Board of Directors

Name	Position/Affiliation
Jeff Hupke	CEO
Greg Gaeddert	B12, Board Chair
Kevin F. Mullane	AMF
Tim Keeble	MidStates Capital
Mike Wedel	B-12 Series Investors

Company Contact Information

Name & Location	Principal Officers
B12 Transportation Group, LLC, 807 E. 29th Street Lawrence, Kansas 66046 800-255-6827 www.bcvi.com	Jeff Hupke, CEO Dean Coleman CFO

AAVIN EQUITY PARTNERS II, LP

VALUATION REPORT

Portfolio Company: **CPI Luxury Group**

December 31, 2016

INVESTMENT DATE: June 30, 2016

AAVIN PRINCIPALS: Thies Kolln, Board Observer
David Schroder

0.0% Outstanding Equity Ownership

0.0% Fully Diluted Equity Ownership

Security	Total Invested Cost	Prior Valuation	Current Period Change: New $ Invested	Current Period Change: Redemptions/ Repayments	Current Period Change: Valuation Change	Current Valuation
Sub Debt	1,445,189	1,445,189	-	-	-	1,445,189
Total	$1,445,189	$1,445,189	$0	$0	$0	$1,445,189

Enterprise Valuation*: $28,077,725

*Enterprise value - The value of the enterprise implied by the current valuation required to return capital to the fund equal to the current valuation.

Proceeds received to date:

Periods	Closing Fees	Management Fees	Interest	Other Distributions	Return of Principal	Total
Close - Jun 30, 2016	$ 28,904					$ 28,904
Current Period (Jul 1 - Dec 31, 2016)	$ -		$ 107,486			$ 107,486
Total	$ 28,904	$ -	$ 107,486	$ -	$ -	$ 136,390

AEPII

Valuation

The valuation of CPI Luxury Group ("CPI") as of December 31, 2016, is $3,554,811 for AMF and $1,445,189 for AEPII each of which is equal to the original cost of the investment and the previous valuation. Total amount invested by AAVIN Funds equals $5,000,000.

Business Description

CPI imports and wholesales pearls and other related jewelry products. CPI purchases freshwater pearls direct from farmers in China, has the pearls processed in Hong Kong (drilling, bleaching and stringing operations) and imports the pearl strings to the United States. At its location in Los Angeles, the Company categorizes the pearls and does final assembly, boxing and shipping to stores or directly to end customers. CPI is the primary pearl provider to a number of large national accounts, including Macy's, JC Penney, Fred Meyer, Helzberg and Kohl's. CPI sells not only generic pearl jewelry, but also branded product to certain accounts (Belle de Mer to Macy's, Joy de Mer to Fred Meyer). Since 2011 CPI has also sold through an Amazon storefront as pearlzzz.com and since 2013 direct to Amazon's curated products program.

Financing

AAVIN Mezzanine Fund, LP (AMF) and AAVIN Equity Partners II, LP (AEPII) participated in a recapitalization of CPI's existing debt of $24,220,179 with Salus Capital (representing approximately $1,100,000 below the then outstanding balance with Salus as an incentive to close by June 30, 2016). East West Bank provided a revolving line of credit of $25,000,000, of which $20,003,179 was funded at closing.

AMF invested a total of $3,554,811 in the transaction. The investment is entirely in 17.5% subordinated debt with a five year term.

AEPII invested a total of $1,445,189 in the transaction. The investment is entirely in 17.5% subordinated debt with a five year term.

AMF/AEPII have the right to have one observer attend board meetings.

Current Status

AAVIN closed this investment on June 30, 2016. The Company was largely on plan for the first half of the year. In the second half, however, its top line was significantly affected by store closings at Macy's, the Company's largest customer. Management reacted quickly to reduce costs, including having the executives take significant compensation cuts. As a result, while sales have been down from plan, the Company has been able to stay well within the financial covenants set by its senior lender.

The Company currently is budgeting 2017 sales of $18.4 million, which is about flat from where 2016 is expected to end. There is significant upside potential, however, with JC Penney (which has already increased orders over last year) and Amazon (which is currently negotiating with CPI regarding additional opportunities). CPI also plans to continue to reduce inventory and improve inventory turns.

Keys to Success

- Replace business lost due to Macy's store closings
- Continue to maintain sales with key national accounts while improving margins
- Reduce inventory to free up cash and focus on items with improved inventory turns
- Generate excess cash flow to pay down sub debt over time

Exit Strategy

The owner of CPI is currently in the process of refinancing the building owned by him and occupied by CPI and refinancing a portion of the AAVIN loans. It is currently anticipated that the refinancing will close in January and result in a reduction of AAVIN's loan principal by $3.70 million and prepayment penalties of $125,000. In connection with this transaction, the interest rate on AAVIN's remaining loans will also increase from 17.5% to 18.0%. CPI intends to try to refinance the remainder of the AAVIN loans as soon as possible, or alternatively use free cash flow to continue to pay down the AAVIN loans over time.

Historical Financial Performance/Budget

Statement of Operations ('000's)									
	Year Ended December 31				TTM	YTD	Budget YTD	Budget	Budget
In '000's	2012	2013	2014	2015	11/30/16	'11/30/16	"11/30/16	2016	2017
Net Sales	$ 21,321	$ 22,620	$ 21,329	$ 21,317	$ 18,666	$ 16,337	$ 20,618	$ 24,078	$ 18,400
COGS	12,200	12,124	10,777	10,757	9,346	8,183	10,393	12,107	9,025
Gross Profit	9,121	10,496	10,552	10,560	9,320	8,154	10,224	11,971	9,375
Gross Margin	42.8%	46.4%	49.5%	49.5%	49.9%	49.9%	49.6%	49.7%	51.0%
Total Expenses	8,610	9,864	9,773	10,117	8,455	7,456	9,650	10,246	8,090
Net Profit (Loss)	$ 511	$ 632	$ 779	$ 443	$ 865	$ 698	$ 574	$ 1,724	$ 1,285
Add Backs to EBITDA:									
Non-Operating Items					(1,100)	(1,100)			
Depreciation	222	183	232	352	314	289	248	278	270
Interest	865	1,568	1,899	1,951	1,960	1,789	1,509	1,682	1,375
Bank Charges	388	291	434	387	191	160	396	134	73
EBITDA	$ 1,986	$ 2,674	$ 3,344	$ 3,133	$ 2,230	$ 1,836	$ 2,727	$ 3,818	$ 3,004
EBITDA Margin	9.3%	11.8%	15.7%	14.7%	11.9%	11.2%	13.2%		16.3%

Balance Sheet as of November 30, 2016			
Cash	$ 176,650	A/P	$ 8,867,946
A/R, net of allowance for bad debt	6,358,956	Accruals	576,555
Disputed Items	1,172,920	Line of Credit - East West Bank	23,077,725
Inventory	28,819,544	Current Portion of LT Debt	14,654
Inventory Overhead	4,718,373	Shareholder Current Accounts (Tax Distrib)	(317,835)
Prepaid Expenses & Other	858,959	Other Current Liabilities	5,581
Total Current Assets	42,105,402	Total Current Liabilities	32,224,627
		AAVIN Loans	5,000,000
		Other Third Party LT Debt	9,929
Property, Plant & Equipment, net	1,631,193	Shareholder Debt	1,014,395
Deposits	55,000	Shareholder Equity	5,542,643
Total Assets	$ 43,791,594	Total Liabilities & Equity	$ 43,791,594

Waterfall

In the event of a sale of the company and after the repayment of the revolving credit to East West Bank, the Sub Debt of $5,000,000 plus all accrued and unpaid interest would be paid next.

Board of Directors

Name	Position/Affiliation
Harold Jabarian	CEO
George Hasbanian	COO

Company Contact Information

Name & Location	Principal Officers
CPI Luxury Group	Harold Jabarian, CEO
10220 Norris Avenue	
Pacoima, CA 91331	George Hasbanian, COO
Voice: 818-249-9888	
Fax: 818-249-4777	

AAVIN EQUITY PARTNERS II, LP

VALUATION REPORT

Portfolio Company: **Montana SilverSmith, LLC**

December 31, 2016

INVESTMENT DATE: October 27, 2016

AAVIN PRINCIPALS: Kevin F. Mullane, Board Member
James Thorp, Board Observer

8.17% Outstanding Equity Ownership

6.13% Fully Diluted Equity Ownership

Security	Total Invested Cost	Prior Valuation	Current Period Change: New $ Invested	Current Period Change: Redemptions/ Repayments	Current Period Change: Valuation Change	Current Valuation
Sub-Debt	$650,250		$ 650,250	$ 144,500	-	$505,750
Class A Units	216,750		216,750	-	-	216,750
Total	$867,000		867,000	$ 144,500	-	$722,500

Operating Company Enterprise Valuation*: $10,952,878

*Enterprise value - The value of the enterprise implied by the current valuation required to return capital to the fund equal to the current valuation.

Proceeds received to date:

Periods	Closing Fees	Management Fees	Interest	Other Distributions	Return of Principal	Total
2016 (Close - 12/31/16)	$ 16,618		$ 8,557		$ 144,500	$ 169,674
Total	$ 16,618		$ 8,557		$ 144,500	$ 169,674

AEPII

Valuation

The valuation of Montana SilverSmith as of December 31, 2016, is $1,777,500 for AAVIN Mezzanine Fund, LP (AMF) and $722,500 for AAVIN Equity Partners II, LP (AEPII) each of which is equal to the original cost of the investment less the amount of the bridge loan of $500,000 which was repaid on 12/31/16. The total amount invested by AAVIN combined funds was $3,000,000 less the amount of the bridge loan of $500,000.

Business Description

Montana SilverSmith is a manufacturer and the largest supplier of western buckles, jewelry and watches. The company is the most recognizable brands in the western lifestyle industry. Montana is located in Columbus, Montana and has been in business for over forty years. The company sells its products through large western retailers such as Boot Barn and Cabellas as well as farm stores independent specialty shops. The company also sells through event sponsorships promotional outlets, television jewelry sales, and a growing on-line presence.

Financing

AMF and AEPII participated in a buyout of the stock of Montana SilverSmiths. The total purchase price for the business which includes the real estate was $9,000,000. Two other SBIC's participated in the transaction.

AMF, invested a total of $2,133,000 in the transaction. The investment is comprised of $1,244,250 in 17% (13% current pay + 4% PIK) subordinated debt with a five-year term and $533,250 in Class A membership units and $355,500 in the form of a 10% bridge note. As of December 30, 2016 the bridge note was repaid.

AEPII, invested a total of $867,000 in the transaction. The investment is comprised of $505,750 in 13% current pay + 1% PIK subordinated debt with a five-year term and $216,750 in series A membership units and $144,500 in the form of a 10% bridge note. As of December 31, 2016 the bridge note was repaid.

AMF/AEPII hold one Board seat on the Board of Directors of MSS. AMF/AEPII have the right to also have two observers attend board meetings.

Current Status

AAVIN closed this investment on October 28, 2016. The company had a strong October but November and December were behind plan due to softness in the specialty retail segment. The company has completed the process and added Private Bank as a senior lender providing a revolving line of credit. The company has no term debt. The company has $3 million of availability. The company retired the bridge notes provided by the Investors. Private Bank has provided a $6.3 million LOC for the company.

Keys to Success

- Hired a new COO and CFO.
- Expand sales into other product lines
- Continue to gain market share in e commerce as well as specialty sales and event sales.
- Pay down acquisition debt

Exit Strategy

The exit strategy for this investment will be to grow the company over the next five years and pay down acquisition debt and engage an investment banker at that time to run a sale process to sell the company to an industry buyer or to a financial buyer.

Historical Financial Performance/Budget

Statement of Operations (000's) Year Ended December 31								
In '000's	2012	2013	2014	2015	TTM at close 10/31/16	YTD 11/30/16	YTD Budget 11/30/16	Annual Budget 2016
Net Sales	$ 25,965	$ 27,084	$ 26,217	$27,111	$ 25,481	$ 22,802	$ 22,014	$ 24,787
COGS	14,801	15,178	15,819	16,626	15,364	13,844	12,833	15,046
Gross Profit	11,164	11,897	10,398	10,485	10,117	8,958	9,181	9,741
Gross Margin	43.0%	43.9%	39.7%	38.7%	39.7%	39.3%	41.7%	39.3%
Operating Expenses	8,784	8,883	9,215	9,642	10,439	9,743	9,636	10,562
Other Income (Expense)	(586)	(634)	(943)	(1,460)				
Net Profit (Loss)		$ 2,380	$ 240	$ (617)	$ (1,704)	$ (1,952)	$ (1,661)	$ (2,165)
EBITDA Adjustments	358	365	2,347	3,261	3,438	3,187	3,173	3,496
EBITDA	$ 358	$ 2,745	$ 2,587	$ 2,590	$ 1,734	$ 1,235	$ 1,512	$ 1,331
EBITDA Margin	1.4%	10.1%	9.9%	9.6%	6.8%	5.4%	6.9%	5.4%

Balance Sheet as of 11/30/16			
Cash	$ 376,000	A/P	$ 2,877,000
A/R	3,669,000	Accruals	2,391,000
Inventory	6,734,000	Bridge Note Payable - Short Term	2,750,000
Prepaid Expenses & Other	298,000	Other	1,740,000
Total Current Assets	11,077,000	Total Current Liabilities	9,758,000
PP&E, Net	6,110,000	Total Long Term Debt	5,250,000
		Total Liabilities	15,008,000
		Equity	2,300,000
		Retained Earnings	(120,000)
Total Assets	$ 17,188,000	Total Liabilities & Equity	$ 17,188,000

Capitalization & Equity Schedule

Entity	Sub-Debt	Equity Units	Ownership %	Current Distribution %'s		Equity Investment	Fully Diluted Units
Diamond State Ventures III, LP	$ 2,450,000	10,500.00	29.7%	37.7%		$ 1,050,000	10,500.00
MidStates Capital Fund III, LP	1,050,000	4,500.00	12.7%	16.1%		450,000	4,500.00
Stone Creek Capital, LLC		500.00	1.4%	1.8%		50,000	500.00
AAVIN Mezzanine Fund, LP	1,244,250	5,332.50	15.1%	19.1%		533,250	5,332.50
AAVIN Equity Partners II, LP	505,750	2,167.50	6.1%	7.8%		216,750	2,167.00
Management Reserve		5,307.69	15.0%	7.5%	*		5,307.69
Stone Creek Capital, LLC Promote		7,076.92	20.0%	10.0%	*		7,076.92
Totals	$ 5,250,000	35,384.61	100.0%	100.0%		$ 2,300,000	35,384.11

*Management Reserve is Class C Units and Stone Creek Capital LLC Promote is Class B Units that receive initial distributions of 50% until certain performance goals are met regarding the Class A Units.

Waterfall

In the event of a sale of the company and after the repayment of any revolving credit, all senior debt and any other retained liabilities, the distribution of any remaining balance of proceeds would be pro-rata with Class B units and Class C units receiving an amount equal to 50% of their outstanding equity percentages with the balance to Class A units until the Class A units have received an amount equal to 2.5x the original cost. After the Class A units have received 2.5x the Class C and Class B units will receive catch up distributions until they receive their respective outstanding equity percentages of total distributions. Any remaining balance will be distributed pro-rata to the Class A, Class B and Class C units pro-rata according to their respective outstanding equity percentages. Class A is owned by the investors, Class B units are those issued to Stone Creek as their sponsor promote and Class C units are those reserved for issue to management.

Board of Directors

Name	Position/Affiliation
Steve Muellner	CEO
Drew Adams	Stone Creek Capital, Board Chair
Kevin F. Mullane	AMF/AEPII
Joe Hays	Diamond State Capital
Bart Bergman	Mid States Capital

Company Contact Information

Name & Location	Principal Officers
Montana SilverSmiths, LLC	Steve Muellner CEO
#1 Sterling Lane	Judy Wagner VP Marketing
Columbus, Montana 59019	Peter Eckberg CFO
Voice: 406-322-4555	

AAVIN EQUITY PARTNERS II, LP

VALUATION REPORT

Portfolio Company: **Odessa Aim Holdings, Inc.**

December 31, 2016

INVESTMENT DATE: August 31, 2016

AAVIN PRINCIPALS: James Thorp, Board Member
Thies Kolln, Board Member

14.0% Outstanding Equity Ownership

12.6% Fully Diluted Equity Ownership

			Current Period Change			
Security	Total Invested Cost	Prior Valuation	New $ Invested	Redemptions/ Repayments	Valuation Change	Current Valuation
Sub Debt	1,069,439	NA	1,069,439	NA	NA	1,069,439
Preferred Stock	228,920	NA	228,920	NA	NA	228,920
Common Stock	2,312	NA	2,312	NA	NA	2,312
Total	$1,300,671	NA	$1,300,671	NA	NA	$1,300,671

Enterprise Valuation*: $9,370,000

*Enterprise value - The value of the enterprise implied by the current valuation required to return capital to the fund equal to the current valuation.

Proceeds received to date:

Periods	Closing Fees	Management Fees	Interest	Other Distributions	Return of Principal	Total
Current Period (Close - Dec 31, 2016)	$ 25,435	$ 9,633	$ 37,846			$ 72,914
Total	$ 25,435	$ 9,633	$ 37,846	-	$ -	$ 72,914

AEPII

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Odessa AIM Holdings. Inc. - INVESTMENT VALUATION
December 31, 2016

Valuation

The valuation of Odessa Aim Holdings, Inc. ("AIM" or the "Company") as of December 31, 2016, is $3,199,329 for AMF and $1,300,671 for AEPII each of which is equal to the original cost of the investment. This a new investment during the valuation period so there is no previous valuation for comparison. Total amount invested by AAVIN Funds equals $4,500,000.

Business Description

AIM, a Delaware corporation, is a holding company established by AAVIN to recapitalize and hold the ownership of Odessa American Industrial Machine, LLC. AIM is a specialty manufacturer of machined parts and components for industrial engines and compressors serving companies with natural gas processing facilities in the Permian Basin (Odessa, Texas and vicinity). AIM provides service to owners of natural gas compression systems whose need is often immediate and critical. When a failed or damaged part on a high value engine or compressor causes an outage, it can, in turn, cause the natural gas producer to incur significant expense and lost revenue. Given the 24/7/365 rugged operating field conditions, component parts need to be repeatedly repaired or replaced. Approximately 70% of Company work is for unplanned part failures. The Company has a reputation for being highly responsive to this urgent, time dependent, customer requirement. The Company rebuilds or fabricates parts in their machining operation and provides the replacement to its customers which then manage the installation.

Financing

On August 31, 2016 AAVIN closed on a recapitalization that it lead to provid significant liquidity to John Hutson and Walt Tonge (the prior sole owners of AIM) in the amount of $6,000,000 at closing in exchange for a 50% interest in the Company. AAVIN invested $4,000,000 to support this transaction and secured another $2,000,000 in senior term debt from Parkside Financial Bank & Trust. An additional $1,000,000 in a working capital line of credit based upon receivables and inventory was also put in place and was undrawn at closing. AAVIN provided a total of $4,500,000 to provide for the recapitalization, closing costs and initial cash operating capital.

AMF invested a total of $3,199,329 in the transaction: $2,630,561 was in the form of a 14% 5-year subordinated note, $563,080 was in 8% redeemable preferred stock and $5,688 was in common stock representing 36% of the outstanding ownership of the Company.

AEPII invested a total of $1,300,671 in the transaction: $1,069,439 was in the form of a 14% 5-year subordinated note, $228,920 was in 8% redeemable preferred stock and $2,312 was in common stock representing 14% of the outstanding ownership of the Company.

AMF/AEPII have the right to have two seats on the board of directors.

Current Status

AAVIN closed this investment on August 31, 2016. The Company sales have been less than they had projected through the end of the year but they did see significant recovery in December. While the Company

has been behind plan it has not had cash flow issues, is paying its bills on time and has yet to have to access its revolving line of credit.

The Company believes that the lower level of sales that the Company experienced is due to the lingering effects of a low gas price market and the pressure that places on some of its customers that have commodity risk. The gas market has recovered significantly from its lows in early 2016 of approximately $1.50 to around $3.50 today. The current expectation is that the price in the coming year will hover around $4.00. This pricing should provide relief to those customers that have deferred past maintenance expenses.

The Company had rudimentary accounting and the last few months have been spent bringing the Company up to GAAP. AAVIN brought in an outside contractor to assist in this process. At this time the process is pretty much complete, however, the Company will still need to implement an adequate inventory accounting system to maintain its inventories properly. The Company has always managed these areas adequately in the past but with the prospect of more growth and the need to comply with the its banking provisions the systems need upgraded.

Keys to Success

- Successfully implement more sophisticated systems to track financial and operational metrics and use to evaluate and help manage growth.
- Determine supplemental personnel needs to provide for and manage growth and successfully recruit and hire.
- Execute on growth plans prudently. Evaluate options and prioritize relative to available resources and economic opportunity. Develop measurable target endpoints. Implement and proactively monitor feedback against targeted results. Take timely and corrective actions as appropriate.

Exit Strategy

The potential exit opportunities for this Company are most probably a sale to a strategic or financial acquirer. The management team has built a similar previous company that was sold to Dresser-Rand a strategic acquirer.

Historical Financial Performance

Statement of Operations ('000's)

In '000's	Year Ended December 31 2012	2013	2014	2015	TTM 11/30/2016	YTD 11/30/2016	Budget YTD 11/30/2016	Budget 2016
Revenues	$ 6,821	$ 6,819	$ 8,853	$ 7,521	$ 6,816	$ 5,971	$ 6,770	$ 7,555
Revenue growth	n/a	0.0%	29.8%	-15.0%	n/a	n/a	n/a	n/a
Cost of Goods Sold	3,246	2,983	3,905	3,410	2,717	2,409	2,679	3,029
Gross profit	$ 3,575	$ 3,835	$ 4,948	$ 4,111	$ 4,099	$ 3,562	$ 4,091	$ 4,526
Gross profit %	52.4%	56.2%	55.9%	54.7%	60.1%	59.7%	60.4%	59.9%
Total operating expense	1,825	1,981	2,179	2,159	2,294	2,033	1,979	2,190
Operating income	$ 1,749	$ 1,854	$ 2,768	$ 1,952	$ 1,805	$ 1,529	$ 2,112	$ 2,336
Depreciation and amortization								
Interest expense	-	-	-	-	155	155		
Pre-tax net income	$ 1,749	$ 1,854	$ 2,768	$ 1,952	$ 1,650	$ 1,374	$ 2,112	$ 2,336
Income taxes (or tax distribu	-	-	-	-	0	0	0	0
Net income	$1,749	$1,854	$2,768	$1,952	$1,650	$1,374	$2,112	$2,336
ITDA & closing exp	-	-	-	-	428	428		
EBITDA actual	1,749	1,854	2,768	1,952	2,078	1,802	2,112	2,336
EBITDA % actual	25.6%	27.2%	31.3%	26.0%	30.5%	30.2%	31.2%	30.9%

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Odessa AIM Holdings. Inc. - INVESTMENT VALUATION
December 31, 2016

Balance Sheet as of November 30, 2016 ('000's)					
Cash	$	308	A/P	$	479
A/R, net of allowance for bad debt		753	Accruals		8
			Line of Credit - Parkside		-
Inventory		305	Current Portion of LT Debt		400
			Total Current Liabilities		887
Prepaid Expenses & Other		59			
Total Current Assets		1,425	Parkside Sr. Term		1,533
			AAVIN Equity Partners II		1,069
			AAVIN Mezzanine Fund		2,631
			John Hutson		1,100
			Walt Tonge		1,100
			Total LT Liabilities	$	8,320
			Common Stock		1,600
Equipment, net		397	Retianed Earnings	$	(289)
Goodwill		7,809			1,311
Total Assets	$	9,631		$	9,631

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Odessa AIM Holdings. Inc. - INVESTMENT VALUATION
December 31, 2016

	14% 5-Year Subordinated Debt	Total Equity Capital Contribution ($)	Preferred ($)	Series A Preferred Stock (#) [1]	Common ($)	Fully Diluted Common Stock (#)	Fully Diluted Common Stock (%)
AAVIN Mezzanine Fund, L.P.	$ 2,630,561	$ 568,768	$ 563,080	563,080	$ 5,688	320	32.0%
AAVIN Equity Partners II, L.P.	1,069,439	231,232	228,920	228,920	2,312	130	13.0%
AAVIN Total	$ 3,700,000	$ 800,000	$ 792,000	792,000	$ 8,000	450	45.0%
Compression Sales I LTD (Hutson)	1,100,000	400,000 [3]	396,000	396,000	4,000	225	22.5%
WMT I LTD (Tonge)	1,100,000	400,000 [3]	396,000	396,000	4,000	225	22.5%
Incentive Pool [2]		-		-		100	10.0%
Total	$ 5,900,000	$ 1,600,000	$1,584,000	1,584,000	$ 16,000	1,000	100.0%

(1) Liquidation Preference of $100 per share. Series A Preferred has an 8% preferred return that compounds annually and is payable upon liquidation.
(2) Unissued at closing
(3) Capital contribution consists of Odessa American Industrial Machine LLC membership interests

Waterfall

In the event of a sale of the company and after the repayment of the funded senior debt to Parkside, the Sub Debt of $5,900,000 plus all accrued and unpaid interest would be paid next, pro-rata; then the $1,584,000 in preferred stock plus all accumulated dividends, pro-rata; and then the remainder would be paid out to the common equity.

Board of Directors

Name	Position/Affiliation
James Thorp	representing AAVIN
Thies Kolln	representing AAVIN
Walt Tonge	CEO
John Hutson	Sales Manager

Company Contact Information

Name & Location	Principal Officers
Odessa AIM Holdings, Inc.	Walt Tonge – CEO
Odessa AIM Intermediary, Inc.	John Hutson – Sales Manager

Odessa American Industrial Machine LLC
3401 N. County Road W
Odessa, Texas 79764
Phone 432-366-3516

AAVIN EQUITY PARTNERS II, LP

VALUATION REPORT

Portfolio Company: **SPI Acquisition Holdings, Inc.**

December 31, 2016

INVESTMENT DATE: December 27, 2016

AAVIN PRINCIPALS: Paul Rhines, Director
Kirk Kaalberg, Director

12.95% Outstanding Equity Ownership

8.77% Fully Diluted Equity Ownership

			Current Period Change			
Security	Total Invested Cost	Prior Valuation	New $ Invested	Redemptions/ Repayments	Valuation Change	Current Valuation
Sub Debt	$ 840,990	NA	840,990	NA	NA	840,990
Preferred Equity	560,660		560,660			560,660
Total	$1,401,650		$1,401,650			$1,401,650

Enterprise Valuation*: $18,924,951

*Enterprise value - The value of the enterprise implied by the current valuation required to return capital to the fund equal to the current valuation plus payoff outstanding funded debt.

Proceeds received to date:

Periods	Closing Fees	Management Fees	Interest	Other Distributions	Return of Principal	Total
Current Period (Close - 12/31/16)	$ 28,033		$ -			$ 28,033
Total	$ 28,033	-	$ -	$ -	$ -	$ 28,033

AEPII

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
SPI ACQUISITION HOLDINGS, INC. - INVESTMENT VALUATION
December 31,2016

Valuation

The valuation of SPI Acquisition Holdings, Inc. and Its' wholly owned operating subsidiary, Standard Precast, Inc.(SPI or Company) is equal to cost as of December 31, 2016 which is $ 3,448,350 for AMF and $1,401,650 for AEPII. This a new investment during the valuation period so there is no previous valuation for comparison. Total amount invested by AAVIN Funds equals $4,850,000.

Business Description

SPI is a manufacturer of precast concrete products that are used in the collection and distribution of water and wastewater infrastructure projects. While it makes a variety of products for these applications, the majority of items sold are manholes, box culverts, and inlets. The Company and plant are located in Jacksonville, Florida and the majority of the Company's business is from that area. SPI was started in 1961 and has operated continuously since that time.

Financing

AAVIN invested $4.850 million in the acquisition of SPI. The transaction closed on December 27,2016. AAVIN was joined in the purchase by Diamond State Ventures which invested an identical amount on identical terms. We each own approximately 44.8% with the remainder owned by Woodlake Advisors who sponsored the transaction and will have an ongoing management role and a significant ownership incentive based on the Company's ultimate liquidation value. Senior bank financing of $9 million was provided by Hancock Bank which also is providing a line of credit of up to $2.5 million. Finally, although separate from our purchase transaction, the Company sold its' real estate for approximately $7.5 million in a sale and leaseback (by the new Company) to Store Capital.

Current Status

AAVIN closed this investment on December 27, 2016. The Company has had no results to report, although shipments in the last couple of weeks have been strong and backlog remains high.

Keys to Success

1. Continue to maintain high margins and dominate the Jacksonville market.
2. Transition to replacement management for the CEO and add a more professional CFO in the relatively near future.
3. Look for expansion opportunities that make sense both in Florida and nearby states.
4. Reduce debt as quickly as feasible.

Exit Strategy

The plan is to sell the Company to a larger national player in the precast business. Assuming strong performance, a successful transition to a new CEO, and some growth along with debt reduction, this should be feasible in the 5-year time frame.

Historical Financial Performance/Budget

Statement of Operations ('000's) Year Ended December 31							
In '000's	2011	2012	2013	2014	2015	2016 Oct YTD	12.31.16 YTD Projected
Net Sales	$ 6,293	$ 6,120	$ 8,646	$ 16,254	$ 18,383	$ 16,034	$ 19,234
COGS	4,863	4,874	5,909	9,995	11,543	9,479	11,451
Gross Profit	1,430	1,246	2,737	6,259	6,840	6,555	7,783
Gross Margin	22.72%	20.36%	31.66%	38.51%	37.21%	40.88%	40.46%
EBITDA	$ (541)	$ (508)	$ 1,232	$ 4,263	$ 4,353	$ 4,582	$ 5,350
EBITDA Margin	-8.6%	-8.3%	14.2%	26.2%	23.7%	28.6%	27.8%

Proforma Balance Sheet as of December 27, 2017 (000's)			
Cash	$ 562	A/P	$ 776
Accounts Receivable	2,746		
Inventory	968		
Total Current Assets	4,276	Total Current Liabilities	776
Property, Plant & Equipment, net	4,706	Senior Debt	9,000
Other Assets	50	Mezzanine Debt	5,777
Goodwill	10,971	Shareholder Equity	4,450
Total Assets	$ 20,003	Total Liabilities & Equity	$ 20,003

Capitalization and Equity Schedule

Entity	Total Investment	Sub-Debt	Preferred Stock $	Preferred Shares	Outstanding Ownership %	Fully Diluted Ownership %
AAVIN Mezzanine Fund, LP	$ 3,448,350	$ 2,069,010	$1,379,340	1,379.34	31.86%	21.58%
AAVIN Equity Partners II, LP	1,401,650	840,990	560,660	560.66	12.95%	8.77%
Diamond State	4,850,000	2,910,000	1,940,000	1,940.00	44.80%	30.35%
Woodlake Advisors	300,000	75,000	225,000	225.00	5.20%	3.52%
Woodlake Advisors - Class B 22.25%						22.25%
Russell Smith	225,000		225,000	225.00	5.20%	3.52%
Management Incentive - Class A 10%	-					10.00%
Totals	$ 10,225,000	$ 5,895,000	$4,330,000	4,330.00	100.00%	100.00%

Class A is issued at the discretion of the board and the 10% represents the maximum that might be issued. Class B has no value as of 12.31.16. The future value of the Class B will be determined by the ultimate liquidation value of the Company upon its' sale and is related to the multiple of investment received by the Preferred Shares. If such multiple is 1.5x the Preferred cost plus 8%, the B has no value. Thereafter, as the multiple of cost plus the 8% increases to a maximum of 3x cost, the Bs' value will increase to the maximum of 22.25% of the liquidation value as shown above.

Board of Directors

Name	Position/Affiliation
Russell Smith	CEO, COO, Director
Sam Seraphim	COB, Director - Woodlake Advisors
Paul D. Rhines	Director - AAVIN
Kirk Kaalberg	Director- AAVIN
Tyler Bozynski	Director - Diamond State

Company Contact Information

Name & Location	Principal Officers
SPI Acquisition Holdings Inc.	Russell Smith CEO, COO
12300 Presidents Court	
Jacksonville, FL 32220	Phone: 904-268-0466

AAVIN EQUITY PARTNERS II, LP

VALUATION REPORT

Portfolio Company: **TRANSFER TOOL HOLDING, LLC**

December 31, 2016

INVESTMENT DATE: August 10, 2015

AAVIN PRINCIPALS: Kevin F. Mullane, Board Member
David Schroder, Board Observer

4.6% Outstanding Equity Ownership

4.2% Fully Diluted Equity Ownership

Security	Total Invested Cost	Prior Valuation	Current Period Change: New $ Invested	Current Period Change: Redemptions/ Repayments	Current Period Change: Valuation Change	Current Valuation
Sub-Debt	$459,292	$435,066	$ 24,216	-	-	$459,282
Common Units	306,188	290,044	16,144	-	-	306,188
Total	$765,480	$725,110	$ 40,360	-	-	$765,470

Operating Company Enterprise Valuation*: $31,483,233

Real Estate Valuation: $2,174,747

*Enterprise value - The value of the enterprise implied by the current valuation required to return capital to the fund equal to the current valuation.

Proceeds received to date:

Periods	Closing Fees	Management Fees	Interest	Other Distributions	Return of Principal	Total
Close - Dec 2015	$ 14,502		$ 24,364			$ 38,866
YTD 2016			51,857	$ 1,143		53,000
Total	$ 14,502	$ -	$ 76,221	$ 1,143	$ -	$ 91,866

AEPII

Valuation

The valuation of Transfer Tool Holdings, LLC (TT) as of December 31, 2016, is $1,874,185 for AAVIN Mezzanine Fund, LP (AMF) and $765,480 for AAVIN Equity Partners II, LP (AEPII) each of which is equal to the original cost of the investment. The total amount invested by AAVIN combined funds was $2,639,665.

Business Description

TT develops and manufactures deep drawn metal stampings for long time blue chip customers serving primarily the automotive industry. Established over 30 years ago the company is located in Grand Haven, Michigan. The company has developed a strong niche in the automotive supply industry. The company has been able to develop a long-term relationship with a variety of large automotive manufacturers. TT specializes in high volume production of small custom parts up to 10" in diameter in steel, stainless steel, brass aluminum and other alloys. In addition to its primary function TT also provides services of cleaning, plating, rust inhibiting, deburring, vibratory heat treating and machining.

Financing

AMF and AEPII participated in a buyout of the stock of TT. The total purchase price for the business which includes the real estate was $26,850,936. Four other SBIC's participated in the transaction.

AMF, invested a total of $1,774,890 in the transaction. The investment is comprised of $1,064,934 in 14% subordinated debt with a five-year term and $709,956 in common membership units.

AEPII, invested a total of $725,110 in the transaction. The investment is comprised of $435,066 in 14% subordinated debt with a five-year term and $290,044 in common membership units.

On November 4, 2016, TT raised additional capital to fund a plant expansion. AMF invested a total of $99,295 in this follow-on financing of which $59,577 is in 14% subordinated debt and $39,718 is in common membership units. AEPII invested a total of $40,360 in this follow-on financing of which $24,216 is in 14% subordinated debt and $16,144 is in common membership units.

AMF/AEPII hold one Board seat on the Board of Directors of TT. AMF/AEPII have the right to also have two observers attend board meetings.

Current Status

AAVIN closed this investment on August 10th, 2015. The company was on or close to plan through June 2016 however the company has struggled in the last half of the year. The company has seen margin deterioration due to their highest margin customer accelerating taking their business back in house and not reacting quickly enough to a surge in new parts orders from their largest customer. As a result the company has been losing margins on late delivery and freight charges. The company is working to get back on track with margins the first half of 2017. The company has now been able to significantly lower late shipments and expedited freight charges and get back on time with customers. The company has made a significant investment in growth infrastructure in 2016 which has needed to be completed ahead of the new business it serves. The company has a significant new customer

which will begin shipping in the second quarter. This new business could grow to over $7 million over three years.

Starting in October 2016, in exchange for the senior lender to reset their covenants the Investors agreed to forego interest until such time as the company is back in full compliance.

Keys to Success

- Hired a new CEO
- Expand sales into other product lines
- Continue to gain market share in automotive products
- Pay down acquisition debt

Exit Strategy

The exit strategy for this investment will be to grow the company over the next five years and also pay down acquisition debt and engage an investment banker at that time to run a sale process to sell the company to an industry buyer or to a financial buyer.

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
TRANSFER TOOL HOLDING, LLC - INVESTMENT VALUATION
December 31, 2016

Historical Financial Performance/Budget

Statement of Operations ('000's) Year Ended December 31								
In '000's	2012	2013	2014	2015	TTM 11/30/16	YTD 11/30/16	YTD Budget 11/30/16	Annual Budget 2016
Net Sales	$ 16,485	$ 16,918	$ 19,150	$ 19,905	$ 20,895	$ 19,334	$ 19,159	$ 20,901
COGS	10,483	10,562	12,085	13,084	15,170	13,943	12,654	16,218
Gross Profit	6,002	6,356	7,065	6,821	5,725	5,391	6,505	4,683
Gross Margin	36.4%	37.6%	36.9%	34.3%	27.4%	27.9%	34.0%	22.4%
Operating Expenses	2,078	2,127	2,335	4,602	6,766	6,624	6,123	4,520
Other Income (Expense)	(586)	(634)	(668)	(622)	(635)	(311)	(356)	
Net Profit (Loss)	$ 3,338	$ 3,595	$ 4,062	$ 1,597	$ (1,551)	$ (1,323)	$ 26	$ 163
EBITDA Adjustments	358	365	366	2,635	4,376	4,048	3,376	4,207
EBITDA	$ 3,696	$ 3,960	$ 4,428	$ 4,232	$ 2,824	$ 2,724	$ 4,005	$ 4,370
EBITDA Margin	22.4%	23.4%	23.1%	21.3%	13.5%	14.1%	20.9%	20.9%

Balance Sheet as of November 30, 2016			
Cash	$ 295,320	A/P	$ 1,364,368
A/R	3,597,574	Accruals	610,883
Inventory	2,028,698	Note Payable - Short Term	750,000
Prepaid Expenses & Other	190,543	Credit Line	4,000,000
		Other	369,564
Total Current Assets	6,112,135	Total Current Liabilities	7,094,815
PP&E, Net	6,341,167	Investor Long Term Debt	9,902,999
Goodwill (net amortization)	14,609,600	Enterprise Bank	7,750,000
		Unamortized Bank Issue Costs	-170,213
		OC Earnout	1,158,349
Intangibles (net amortization)	2,347,258	Total LT Liabilities	18,641,135
Other	26,562	Owners Equity	3,700,772
Total Assets	$ 29,436,722	Total Liabilities & Equity	$ 29,436,722

** Note – these financials do not include TT Real Estate, LLC **

Capitalization & Equity Schedule

Entity	Total Investment	Sub-Debt	Units ($1/unit)	Ownership %	Profits Units 10%	Fully Diluted Units	Fully Diluted %
CFB Venture Fund, LP	$ 4,223,448	$ 2,534,069	$ 1,689,379	25.6%		1,689,379	23.4%
Diamond State Ventures III, LP	4,223,448	2,534,069	1,689,379	25.6%		1,689,379	23.4%
MidStates Capital Fund III, LP	2,111,724	1,267,034	844,690	12.8%		844,690	11.7%
Kansas Venture Capital, Inc.	2,111,724	1,267,034	844,690	12.8%		844,690	11.7%
AAVIN Mezzanine Fund, LP	1,874,185	1,124,511	749,674	11.4%		749,674	10.4%
AAVIN Equity Partners II, LP	765,480	459,292	306,188	4.6%		306,188	4.2%
TT Holdco, Inc.	1,000,000	600,000	400,000	6.1%		400,000	5.5%
Management	195,000	117,000	78,000	1.2%	624,200	702,200	9.7%
Totals	$ 16,505,009	$ 9,903,009	$ 6,602,000	100.0%	624,200	7,226,200	100.00%

Waterfall

In the event of a sale of the company and after the repayment of any revolving credit, all senior debt and any other retained liabilities, the Sub Debt of $9,363,000 plus all accrued and unpaid interest would be paid next. Any remaining balance of proceeds would then be paid ratably to the holders of common units.

Board of Directors

Name	Position/Affiliation
Scott Coney	CEO
Steve Broun	Capital For Business, Board Chair
Kevin F. Mullane	AMF/AEPII
Bart Bergman	MidStates Capital
Larry Carter	Diamond States Capital

Company Contact Information

Name & Location	Principal Officers
Transfer Tool Holdings, LLC	Steve, Broun, Chairman/CEO
14444 168th Avenue	Jim Raternick, Founder
Grand Haven, Michigan 49417	
Voice: 616-846-8510	
Fax: 616-846-5628	

AAVIN EQUITY PARTNERS II, LP

VALUATION REPORT

Portfolio Company: **Verrex, LLC**

December 31, 2016

INVESTMENT DATE: July 20, 2016

AAVIN PRINCIPALS: Kevin F. Mullane, Board Member
Kirk Kaalberg, Board Observer

5.67% Outstanding Equity Ownership

4.53% Fully Diluted Equity Ownership

Security	Total Invested Cost	Prior Valuation	Current Period Change: New $ Invested	Current Period Change: Redemptions/ Repayments	Current Period Change: Valuation Change	Current Valuation
Sub-Debt	$361,298		$ 361,298	-	-	$361,298
Preferred Class A Units	216,778		216,778	-	-	216,778
Total	$578,076		$ 578,076	-	-	$578,076

Enterprise Valuation*: $15,050,000

*Enterprise value - The value of the enterprise implied by the current valuation required to return capital to the fund equal to the current valuation.

Proceeds received to date:

Periods	Closing Fees	Management Fees	Interest	Other Distributions	Return of Principal	Total
2016 (close - 12/31/16)	$7,226	$0	$18,266		$0	$25,492
Total	$7,226	$0	$18,266	$0	$0	$25,492

AEPII

Valuation

The valuation of Verrex, LLC as of December 31, 2106, is $1,421,924 for AAVIN Mezzanine Fund, LP (AMF) and $578,076 for AAVIN Equity Partners II, LP (AEPII) each of which is equal to the original cost of the investment. Total amount invested by AAVIN Funds equals $2,000,000.

Business Description

Verrex LLC, is a global design-build and managed services provider of complex audio and video communication technologies, helping companies connect through videoconferencing, audio conferencing, collaboration, presentation, training, video display and AT/IT integrated communication systems.

Verrex was acquired on July 28, 2016. Verrex was founded in 1947 and located in Mountainside, New Jersey. The company has been in business for close to 70 years. The company does business internationally in North America, Canada, United Kingdom, Hong Kong, Singapore and Japan.

Financing

Through the investment in Verrex, AMF and AEPII participated in a buyout of the stock. The total purchase price for the business was $13,000,000. Two other SBIC's participated in the transaction. The difference between the purchase price and the enterprise value is primarily the operating line of credit for Verrex.

AMF, invested a total of $1,421,924 in the transaction. The investment is $888,702 in 14% subordinated debt with a five-year term and $333,221 in class A membership units.

AEPII, invested a total of $578,076 in the transaction. The investment is $361,298 in 14% subordinated debt with a five-year term and $216,778 in class A membership units.

AMF/AEPII hold one Board seat and one observer position on the Board of Directors of Verrex.

Current Status

AMF and AEPII closed this investment on July 20, 2016. The company has concluded an audit of its opening balance sheet and has also has completed the working capital true-up. The company has been making progress transitioning from a 70-year family owned company to a private equity financed growth company. AAVIN invested with two other SBIC's, Diamond State Ventures and MidStates Capital. The company has long term relationships with customers which include large banks and law firms. The company operates both domestically and internationally. YTD sales are close to plan. YTD gross margin is approximately 8% behind plan.

Keys to Success

- Expand into West Coast Office second half of 2017
- Expand sales into other applications
- Continue to gain market share in multimedia AV products
- Paydown acquisition debt

Exit Strategy

The exit strategy for this investment will be to grow the company over the next five years and pay down acquisition debt and engage an investment banker at that time to run a sale process to sell the company to an industry buyer or to a financial buyer.

Historical Financial Performance/Budget

Statement of Operations for the Year Ended December 31 (000's)								
In '000's	2012	2013	2014	2015	YTD 10/31/16	YTD Budget 10/31/16	2016 Annual Budget	Close - 11/30/16
Net Sales	$ 35,578	$ 30,400	$ 33,858	$ 35,780	$ 31,966	$ 32,074	$ 40,150	$ 10,587
COGS	23,557	19,000	21,233	22,650	20,981	20,454	25,616	6,040
Gross Profit	12,021	11,400	12,625	13,130	10,988	11,620	14,534	4,547
Gross Margin	33.8%	37.5%	37.3%	36.7%	34.4%	36.2%	36.2%	42.9%
Operating Expenses	13,295	9,080	10,158	10,371	9,592	9,803	11,926	4,648
Other Income (Expense)	(2,998)	(588)	(823)	(649)	(1,001)	(479)	(575)	(391)
Net Profit (Loss)	$ 540	$ 2,071	$ 2,525	$ 2,835	$ 395	$ 1,338	$ 2,033	$ (492)
EBITDA Adjustments	1,181	836	764	573	998	479	575	1,009
EBITDA	$ 1,721	$ 2,907	$ 3,289	$ 3,408	$ 1,393	$ 1,817	$ 2,608	$ 517
EBITDA Margin	4.8%	9.6%	9.7%	9.5%	4.4%	5.7%	6.5%	4.9%

Balance Sheet as of November 30, 2016			
Cash	$ 2,273,586	A/P	$ 3,510,577
A/R	3,320,624	Deposits	1,296,461
Inventory	861,090	Accruals	2,294,955
Other Current Assets	747,555	Current Portion of LT Debt	800,004
Total Current Assets	7,202,855	**Total Current Liabilities**	7,901,997
PP&E, Net	2,922,013	Senior Debt	5,873,017
		Mezz Debt	4,225,000
Goodwill	9,998,289	Unamortized Closing Fees	(78,404)
Other	122,783	**Total Liabilities**	17,921,610
Total Other Assets	10,121,072		
		Owners Equity	2,324,330
Total Assets	$ 20,245,940	**Total Liabilities & Equity**	$ 20,245,940

Capitalization & Equity Schedule

Entity	Sub-Debt	Preferred %	$1.000 per share Preferred Class A Units	Preferred Contribution $	Class B %	$0.001 per share Class B Units	Combined A&B Units	Total Ownership %	Total Contribution $
Diamond State Capital LP	$ 2,035,000	31.76%	12,150	$ 1,215,000			12,150	25.41%	$ 3,250,000
MidStates Capital Fund III LP	940,000	14.64%	5,600	560,000			5,600	11.71%	1,500,000
AAVIN Mezzanine Fund LP	888,702	13.94%	5,332	533,222			5,332	11.15%	1,421,924
AAVIN Equity Partners II LP	361,298	5.67%	2,168	216,778			2,168	4.53%	578,076
SBIC Partners	4,225,000	66.01%	25,250	2,525,000		-	25,250	52.81%	6,750,000
							-		
Thomas Berry IV		27.45%	10,500	1,050,000			10,500	21.96%	1,050,000
Five Crowns Capital		2.61%	1,000	150,000	80.00%	7,650	8,650	18.09%	100,000
William Chamberlin		3.92%	1,500	100,000			1,500	3.14%	150,000
Benjamin Garrick	-	0.00%	-	-	20.00%	1,913	1,913	4.00%	1,913
		0.00%					-	0.00%	
Totals	$ 4,225,000	100.00%	38,250	$ 3,825,000	100.00%	9,563	47,813	100%	$ 8,051,913

Waterfall

In the event of a sale of the company and after the repayment of any revolving credit, all senior debt and any other retained liabilities, the Sub Debt of $4,225,000 plus all accrued and unpaid interest would be paid next. Then Preferred Units of $3,825,000 plus all accumulated dividends would be paid next ratable among the holders thereof. Any remaining balance of proceeds would then be paid ratably to the holders of common units.

Board of Directors

Name	Position/Affiliation
Thomas Berry IV	CEO,President
Joe Hays	Diamond State Capital
Kevin F. Mullane	AMF
Bart Bergman	MidStates Capital
Jeffrey Schaffer	Five Crowns Capital

Company Contact Information

Name & Location	Principal Officers
Verrex, LLC, 1130 Route 22 West Mountainside, New Jersey 07092 616-8468510 www.verrex.com	Thomas Berry IV, CEO Nancy Bowe, Controller